NMLS SAFE MLO

Full-Length Practice Exam Phase 2 — Exam 4

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	**100%**	**120**

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 2 — Exam 4 — QUESTIONS (1–120)

■■ Federal Laws ■■

[Federal Laws — TILA]

1. A borrower has a 3-day Right of Rescission. They sign on a Tuesday. Saturday is not a federal holiday. When does the rescission period expire?

A) Midnight Friday
B) Midnight Saturday
C) Midnight Thursday
D) Midnight Monday

[Federal Laws — RESPA]

2. An applicant is told they MUST use a specific settlement attorney the lender owns an interest in. This violates:

A) TILA's disclosure requirements
B) RESPA Section 8(c) — AfBA requires consumer choice, not mandatory use
C) ECOA's protected class provisions
D) The SAFE Act licensing rules

[Federal Laws — ECOA]

3. Which of the following best describes the ECOA's 'self-test' provision?

A) A credit scoring model self-test for bias
B) An optional examination lenders can conduct to assess compliance, with results protected from discovery if corrective action is taken
C) A mandatory annual audit of all loan denials
D) A test all MLOs must pass annually

[Federal Laws — TRID]

4. A lender discovers a tolerance violation on a Closing Disclosure after the loan has already closed. The lender must cure the violation by:

A) Doing nothing — post-closing cures are not permitted
B) Issuing a corrected CD and providing a refund within 3 business days of discovery
C) Waiting until the borrower complains
D) Modifying the loan terms

[Federal Laws — TILA]

5. The 'average prime offer rate' (APOR) is PRIMARILY used to:

A) Set the maximum mortgage rate allowed by law
B) Determine whether a loan is a Higher-Priced Mortgage Loan (HPML) by comparing the loan's APR to APOR
C) Calculate the borrower's monthly payment
D) Set the ARM index

[Federal Laws — RESPA]

6. Which of the following is required to appear on the NMLS Unique Identifier?

A) On the Closing Disclosure only
B) On business cards, websites, and all advertising materials along with loan applications
C) Only on the lender's internal systems
D) Only on FHA loan documents

[Federal Laws — TILA]

7. A Home Equity Line of Credit (HELOC) differs from a closed-end second mortgage in that a HELOC:

A) Has a fixed interest rate
B) Is an open-end line of credit revolving as needed up to a credit limit
C) Is only available for purchase transactions
D) Cannot be used for home improvements

[Federal Laws — ECOA]

8. Which of the following income sources CANNOT be excluded from consideration by a lender if the applicant offers it for qualifying?

A) Irregular bonus income
B) Public assistance income
C) Overtime income less than 2 years
D) Freelance income for less than 1 year

[Federal Laws — TRID]

9. Under TRID, if the annual percentage rate (APR) on the initial LE is 5.75% and the final CD shows 5.88%, for a fixed-rate loan, is a new 3-day waiting period required?

A) Yes — any APR change triggers a new waiting period
B) No — 5.88% is within 0.125% of 5.75%; no new waiting period required
C) Yes — the new APR is higher, which always triggers a wait
D) No — only loan product changes trigger a new waiting period

[Federal Laws — RESPA]

10. What is the purpose of the HUD-1 Settlement Statement in today's lending environment?

A) It replaced the Closing Disclosure in 2020
B) It is still used for reverse mortgages (HECMs) and RESPA-exempt transactions
C) It is required for all FHA loans regardless of date
D) It is used only for commercial mortgage transactions

[Federal Laws — TILA]

11. Under Regulation Z, which loan is typically EXEMPT from TILA disclosure requirements?

A) A residential mortgage loan for a primary residence
B) A commercial loan for business purposes secured by real property
C) An FHA purchase loan
D) A refinance of an investment property

[Federal Laws — ECOA]

12. A pregnant borrower is told her loan application will be denied 'because you won't be working much longer.' This violates ECOA's prohibition on discrimination based on:

A) Employment stability
B) Sex (and potentially marital/familial status)
C) Age
D) Credit history

[Federal Laws — RESPA]

13. Under RESPA's escrow account rules, if a year-end escrow analysis shows a surplus of $240, the servicer must:

A) Keep the surplus to build reserves
B) Return the surplus within 30 business days if it exceeds $50, or apply it to the next year's payments
C) Return the surplus within 10 days
D) Report the surplus to HUD

[Federal Laws — TRID]

14. The 'total of payments' on the Loan Estimate represents:

A) The down payment plus closing costs

B) The sum of all monthly payments over the life of the loan

C) The interest paid over the loan's life

D) The amount borrowed

[Federal Laws — ECOA]

15. Which statement about the HMDA (Home Mortgage Disclosure Act) is MOST accurate?

A) HMDA is part of RESPA

B) HMDA requires lenders to collect and report loan data including demographic information to identify potential fair lending patterns

C) HMDA applies only to commercial lenders

D) HMDA prohibits discrimination — violations result in automatic loan denial

■■ General Mortgage ■■

[General Mortgage — FHA Loans]

16. A borrower with a 540 FICO has a judgment of $8,000 on their credit report. To qualify for FHA, they MOST likely must:

A) Simply disclose the judgment — it has no impact

B) Pay off the judgment or set up a court-approved payment plan prior to loan approval

C) Wait 7 years from the judgment date

D) Dispute the judgment with the credit bureaus

[General Mortgage — VA Loans]

17. A VA borrower with a 610 FICO applies for a VA loan. Most lenders have an overlay requiring 620 minimum. Can the veteran get a VA loan?

A) Yes — VA has no credit score minimum

B) No — VA requires a 620 minimum FICO score

C) Yes at 610, but with 20% down

D) No — VA requires 640 minimum

[General Mortgage — USDA Loans]

18. A borrower is interested in USDA but their income is $92,000 and the area's 115% AMI limit is $89,000. What are the borrower's options?

A) Apply anyway — USDA has no income limits

B) They are ineligible for USDA due to income exceeding 115% AMI; consider FHA or conventional

C) Reduce their stated income on the application

D) Apply through a different county USDA office

[General Mortgage — Conventional Loans]

19. A borrower applies for a conventional loan with only 6 months of employment at a new job in the same field as their prior employer. Fannie Mae typically requires:

A) 2 full years at the same employer

B) A minimum 12 months at current employer, with exceptions for same-field changes

C) Verification of employment continuity in the same field; 2-year employment history (with job changes in same field often acceptable)

D) No employment history — only income matters

[General Mortgage — FHA Loans]

20. A borrower experienced a foreclosure 2 years ago due to documented job loss (extenuating circumstances). Under standard FHA guidelines, they:

A) Must wait the full 3 years regardless

B) May be eligible under the standard waiting period reduction — FHA allows 1-year exception with documented extenuating circumstances

C) Can apply immediately with 20% down

D) Must apply through HUD directly

[General Mortgage — Mortgage Math]

21. A borrower with $6,000 gross monthly income has 43% maximum DTI and $900 in existing monthly debts. What is the maximum PITI?

A) $1,680

B) $2,580

C) $1,860

D) $2,580 minus existing debts = $1,680

[General Mortgage — PMI/MIP]

22. A borrower's home value has increased significantly. They call to ask how to remove PMI. The lender should advise:

A) PMI auto-cancels when market value increases

B) The borrower can request removal at 80% LTV of ORIGINAL value; a new appraisal at the borrower's expense may show 80% LTV based on current value, but HPA requirements are based on original value for automatic cancellation

C) PMI removal requires refinancing

D) PMI cannot be removed once applied

[General Mortgage — ARM Products]

23. A borrower is considering a 10/6 ARM. The '10' means:

A) 10% initial interest rate

B) The initial fixed rate period is 10 years

C) The loan adjusts 10 times

D) 10% lifetime cap

[General Mortgage — Underwriting/QM/ATR]

24. A borrower's loan has a 3.5% fee for points and origination. The loan amount is $150,000. Does this loan meet QM requirements?

A) Yes — 3.5% meets the 3% QM limit

B) No — points and fees exceeding 3% ($4,500) make the loan non-QM

C) Yes — the QM limit is 5% for smaller loans

D) No — QM doesn't allow discount points

[General Mortgage — Mortgage Math]

25. A home appraises at $290,000. The borrower wants to put 5% down. The purchase price is $305,000. What is the loan amount and what value is used for LTV?

A) Loan: $289,750; LTV on $290,000 = 99.9%

B) Loan: $289,750; LTV = $289,750 / $290,000 = 99.9%

C) Loan: $290,000 based on appraised value; LTV = 100%

D) Loan: $280,000; LTV = 96.5%

[General Mortgage — VA Loans]

26. A surviving spouse of a veteran killed in action (KIA) who has not remarried wants to apply for a VA loan. The surviving spouse:

A) Is not eligible — VA benefits are for veterans only

B) Is eligible for VA home loan benefits as a surviving spouse of a veteran who died in service

C) Must have served in the military personally

D) Is only eligible for VA benefits if the veteran had remaining entitlement

[General Mortgage — Mortgage Math]

27. What is the maximum loan at 95% LTV for a $380,000 purchase price with an appraised value of $375,000?

A) $361,000

B) $356,250

C) $380,000 × 95% = $361,000

D) $375,000 × 95% = $356,250

[General Mortgage — USDA Loans]

28. A borrower wants to finance a new roof on their USDA-financed home. Which program allows home improvement financing into a USDA loan?

A) USDA does not allow any renovation financing

B) USDA Section 504 (grants/loans for repairs) and USDA Combination Loans can include improvement costs

C) FHA 203(k) is the only option

D) VA IRRRL includes renovation costs

[General Mortgage — Conventional Loans]

29. A borrower applies for a Fannie Mae loan and discloses they plan to rent out the property within 60 days of closing. This makes the property:

A) An owner-occupied primary residence

B) An investment property, requiring a 20-25% down payment

C) Ineligible for any conventional loan

D) A second home, requiring 10% down

[General Mortgage — FHA Loans]

30. A non-U.S. citizen with lawful permanent resident alien status (green card) applies for an FHA loan. They are:

A) Ineligible — FHA is only for U.S. citizens

B) Eligible — FHA does not require U.S. citizenship, only lawful residency

C) Eligible only with a co-signer who is a U.S. citizen

D) Eligible but limited to 80% LTV

[General Mortgage — ARM Products]

31. Interest rate caps on an ARM protect the borrower from:

A) Initial rate changes only

B) Unlimited rate increases — caps limit how much the rate can change at each adjustment and over the life of the loan

C) Rate decreases — floors protect the lender

D) Prepayment penalties

[General Mortgage — Underwriting/QM/ATR]

32. A borrower has a DTI of 47%. Their credit score is 780 and they have 18 months PITI in reserves. Under Fannie Mae DU, this loan would MOST likely:

A) Be denied — 47% exceeds the 45% limit

B) Be approved — DU can go up to 50% with strong compensating factors (780 FICO, 18 months reserves)

C) Require manual underwriting only

D) Be approved only with FHA

[General Mortgage — Mortgage Math]

33. FHA loan: Purchase price $350,000, 3.5% down, UFMIP 1.75%. Calculate: down payment, base loan, UFMIP, and total funded loan.

A) Down: $12,250; Base: $337,750; UFMIP: $5,910.63; Total: $343,660.63

B) Down: $12,250; Base: $337,750; UFMIP: $5,960; Total: $343,710

C) Down: $10,500; Base: $339,500; UFMIP: $5,941.25; Total: $345,441.25

D) Down: $17,500; Base: $332,500; UFMIP: $5,818.75; Total: $338,318.75

[General Mortgage — Title/Escrow]

34. A title search reveals an old unpaid mechanic's lien from a contractor who worked on the property 8 years ago. At closing, this lien must typically be:

A) Ignored — liens over 5 years old expire

B) Paid or released as part of closing — title insurance will not cover known, undisclosed liens

C) Disclosed to the buyer and then ignored

D) Transferred to the buyer as an assumed liability

[General Mortgage — PMI/MIP]

35. When comparing the total cost of FHA MIP (life of loan) vs. conventional PMI (cancels at 78% LTV), at what approximate point does FHA become more expensive in total MI cost?

A) FHA is always cheaper

B) Depends on the loan — for borrowers who plan to build equity quickly, conventional is often cheaper long-term once PMI cancels

C) FHA is always more expensive

D) Only at LTV above 95%

[General Mortgage — Conventional Loans]

36. A jumbo loan applicant has 720 FICO, 20% down, and $2.2 million purchase price. The conforming limit is $766,550. This loan is MOST accurately described as:

A) Conforming conventional

B) Non-conforming / jumbo loan requiring portfolio lender or private securitization

C) FHA high-balance loan

D) Super-conforming conventional

[General Mortgage — USDA Loans]

37. After foreclosure completed 2 years and 8 months ago, is a borrower eligible for USDA?

A) Yes — USDA requires only 2 years

B) No — USDA requires 3 years from foreclosure completion

C) Yes with compensating factors

D) No — USDA requires 7 years

[General Mortgage — Mortgage Math]

38. A borrower's monthly income is $9,500. Their back-end DTI is 38%. What are their total monthly debt obligations?

A) $3,800

B) $3,610

C) $3,420

D) $3,800 total debts

[General Mortgage — FHA Loans]

39. FHA's minimum property standards (MPS) require the property to be:

A) Newly constructed only

B) Safe, sound, and sanitary — basic habitability requirements must be met for FHA financing

C) Worth exactly the purchase price

D) Located within 50 miles of an FHA office

[General Mortgage — ARM Products]

40. A borrower is in year 8 of a 10/6 ARM. The current rate is 5.5%. The index is 4.0% and margin is 2.75%. The periodic cap is 2%. What is the MAXIMUM rate at next adjustment?

A) 6.75%

B) 7.5%

C) 5.5% — no adjustment yet

D) 8.0%

[General Mortgage — Conventional Loans]

41. Which of the following is a 'loan level price adjustment' (LLPA)?

A) A state-imposed tax on mortgage transactions

B) A fee assessed by Fannie/Freddie based on risk factors (credit score, LTV, property type) that affect the loan's price

C) A prepayment penalty on the loan

D) An origination fee charged by the lender

[General Mortgage — Underwriting/QM/ATR]

42. A borrower has compensating factors: 790 FICO, 3 months reserves, and low LTV of 70%. Their back-end DTI is 44%. Under FHA manual underwriting, this borrower MOST likely:

A) Is denied — 44% exceeds FHA's 43% limit

B) May qualify with documented compensating factors — FHA manual underwriting allows up to 45-50% with strong factors

C) Must reduce DTI to 36% for manual underwriting

D) Is approved automatically

[General Mortgage — Mortgage Math]

43. A loan has a balance of $180,000 at 6.5% interest rate. What is the monthly interest accrued on this balance?

A) $975

B) $1,170

C) $875

D) $1,300

[General Mortgage — Property/Appraisal]

44. An MLO receives an appraisal showing value $20,000 below the purchase price. The MLO should:

A) Tell the appraiser to use different comparables to hit the value

B) Inform the borrower — the loan will be based on the appraised value (lesser of purchase/appraised)

C) Order another appraisal immediately

D) Increase the loan amount to cover the gap

[General Mortgage — FHA Loans]

45. An FHA streamline refinance can be done WITHOUT an appraisal. Which statement is MOST accurate about this feature?

A) No appraisal means the LTV is always assumed to be 80%

B) No appraisal means the existing FHA balance (net of UFMIP refund) determines the new loan basis — LTV is not recalculated

C) No appraisal means the loan amount can exceed the home's value

D) No appraisal is only available for credit-qualifying streamlines

[General Mortgage — VA Loans]

46. VA's residual income requirement is calculated by subtracting which expenses from gross monthly income?

A) Only mortgage PITI
B) Federal/state taxes, social security, PITI, all monthly debts, and estimated maintenance/utility costs
C) Only debt payments
D) PITI and credit card minimums only

[General Mortgage — Mortgage Math]

47. A $220,000 FHA loan at 6.75% for 30 years uses a payment factor of $6.489 per $1,000. What is the monthly P&I;?

A) $1,427.58
B) $1,350.00
C) $1,500.00
D) $1,200.00

[General Mortgage — USDA Loans]

48. A USDA borrower wants to add a pool to the property using USDA financing. The program allows:

A) Any improvements as long as they are disclosed
B) Improvements that are health or safety related; luxury items like pools are generally not eligible
C) Any improvements at the lender's discretion
D) Pools if they cost less than $10,000

[General Mortgage — Conventional Loans]

49. A borrower with 680 FICO and 90% LTV on a $300,000 conventional loan will pay which type of pricing adjustment?

A) No adjustment — 680 FICO is excellent
B) Loan Level Price Adjustments (LLPAs) based on both the 680 FICO and 90% LTV — higher risk factors mean higher pricing
C) Only an LTV adjustment, not a credit score adjustment
D) The same rate as a 780 FICO borrower

[General Mortgage — Mortgage Math]

50. Using the rule of 72, how many years does it take for a real estate investment value to double at 6% annual appreciation?

A) 10 years
B) 12 years
C) 8 years
D) 6 years

[General Mortgage — ARM Products]

51. A borrower is 'rate-sensitive' and worried about payment increases. Which ARM feature BEST protects them from large payment jumps?

A) High lifetime cap (e.g., 10%)
B) Tight periodic cap (e.g., 1% per adjustment period)
C) High index (e.g., 5%)
D) No initial fixed period

[General Mortgage — Underwriting/QM/ATR]

52. A non-QM loan with a 60% LTV, 800 FICO, and extensive reserves is made by a lender. Under ATR, the lender:

A) Is exempt from ATR because the loan has excellent characteristics

B) Still must comply with ATR by documenting income, employment, credit, and ability to repay — ATR applies to all covered loans regardless of QM status

C) Is only required to document 4 of the 8 ATR factors

D) Is exempt if the loan is sold within 90 days

[General Mortgage — FHA Loans]

53. A borrower is purchasing a 2-unit property (duplex) with an FHA loan and will occupy one unit. The maximum FHA loan limit for a 2-unit property is higher than for a 1-unit. This is because:

A) FHA charges higher fees on multi-unit properties

B) FHA loan limits are set higher for 2-4 unit properties to account for higher purchase prices for multi-unit dwellings

C) Multi-unit FHA loans require 10% down

D) FHA does not allow 2-unit properties

[General Mortgage — Mortgage Math]

54. A USDA borrower has a $240,000 base loan. Upfront guarantee fee = 1% = $2,400 (financed). Annual fee = 0.35%. Monthly fee = ?

A) $70.00

B) $72.40

C) $70.00 on base loan or $72.40 on total loan

D) $84.00

[General Mortgage — PMI/MIP]

55. A borrower makes extra principal payments on a conventional loan with PMI and reaches 80% LTV in 4 years (instead of the scheduled 8 years). Can they request PMI cancellation?

A) No — they must wait for the scheduled amortization

B) Yes — PMI can be requested for cancellation at 80% LTV of original value, even earlier than scheduled, with good payment history and possibly a new appraisal

C) No — early payments don't count for PMI purposes

D) Yes — automatic at 80% regardless of early payments

[General Mortgage — Conventional Loans]

56. What is the minimum down payment for a conventional loan on a second/vacation home?

A) 3% (same as primary)

B) 5%

C) 10%

D) 20%

[General Mortgage — VA Loans]

57. A VA borrower who has their full entitlement used on an existing loan wants to purchase a second home using a second VA loan. This is:

A) Impossible — VA loans are one-time use

B) Possible if the veteran has remaining/restored entitlement — VA allows multiple concurrent VA loans in certain circumstances

C) Possible but requires 25% down on the second loan

D) Possible only if the first VA loan is paid off

[General Mortgage — Property/Appraisal]

58. Which of the following would NOT be considered a 'comparable sale' for residential appraisal purposes?

A) A similar home in the same neighborhood that sold 3 months ago

B) A similar home 0.5 miles away that sold 6 months ago

C) A foreclosure sale of an identical floor plan in the same subdivision

D) A new construction home in the same zip code that sold 4 months ago

[General Mortgage — FHA Loans]

59. For an FHA loan, can the seller pay discount points to buy down the borrower's rate?

A) No — sellers cannot contribute to FHA loans

B) Yes, within the 6% seller concession limit — discount points are an allowable seller concession

C) Yes, but points reduce the FHA loan limit

D) No — only the lender can pay discount points

[General Mortgage — Underwriting/QM/ATR]

60. An MLO is reviewing a file where the borrower's income supports the loan but the property is in a declining market where values have fallen 15% in the past year. The underwriter should:

A) Approve the loan — income is the only consideration

B) Order a new appraisal with a market conditions addendum to document the decline; the appraiser may use an 'as-is' value that reflects current declining conditions

C) Deny the loan — declining markets are always a deal-breaker

D) Ignore the market conditions if the appraisal is recent

■■ Loan Origination ■■

[Loan Origination — Application/1003]

61. A borrower states their income is $9,000/month on the 1003 but their tax returns show $7,200/month (average). The lender should use:

A) $9,000 — borrower attestation controls

B) $7,200 — documented/verified income from tax returns controls

C) The average of $8,100

D) $9,000 if the borrower provides a letter of explanation

[Loan Origination — Income Documentation]

62. A borrower is transitioning from military to civilian employment and starts a new job 30 days before the loan closes. The new job is in a field related to their military service. Can the income be used?

A) No — employment must be at least 2 years old

B) No — only the military income can be used

C) Yes — an offer letter, employment contract, or paystub showing the new income may be acceptable if the income is documented and military-to-civilian transition is documented

D) Only if the new employer provides 2 years of pay history

[Loan Origination — Self-Employed Income]

63. A borrower's Schedule C shows gross revenue of $200,000 and business expenses of $155,000. Depreciation on the Schedule C is $12,000. What is the qualifying monthly income?

A) $3,750 (net profit / 12)

B) $4,750 (net profit + depreciation / 12)

C) $16,667 (gross revenue / 12)

D) $3,583.33

[Loan Origination — DTI Calculations]

64. A borrower's gross income is $7,800/month. Total monthly debts (PITI + all debts) = $3,200. What is the back-end DTI and does it qualify for FHA (43% guideline)?

A) 41.0%; within FHA guideline

B) 41.0%; Yes, within FHA's 43% guideline

C) 43.6%; exceeds FHA guideline

D) 38.5%; well within guideline

[Loan Origination — Credit Analysis]

65. A borrower has a 680 FICO with a recent 60-day late payment on a credit card (3 months ago). What is the likely underwriting impact?

A) No impact — one late payment is acceptable

B) The 60-day late may trigger a 'Refer' from DU/LP and may require a letter of explanation; could impact loan pricing

C) Automatic denial for all programs

D) 60-day late payments are automatically removed from credit reports

[Loan Origination — Disclosures/TRID]

66. A borrower acknowledges the Loan Estimate and submits payment for the appraisal ($550). The appraiser's invoiced fee comes in at $625. This $75 increase is subject to:

A) Zero tolerance — lender must cure $75

B) 10% tolerance — the $75 increase is within the aggregate 10% allowance for this category

C) No tolerance — appraisal fees have unlimited tolerance

D) Zero tolerance only if lender selected the appraiser

[Loan Origination — Products/Programs]

67. Which loan product allows a veteran to finance 100% of the purchase price including VA funding fee in some cases?

A) FHA loan with UFMIP

B) VA loan — the funding fee can be financed on top of the base loan

C) USDA with 1% guarantee fee

D) Conventional with lender-paid PMI

[Loan Origination — Processing/Underwriting]

68. Which of the following conditions would MOST likely require a 'recertification of value' (new appraisal review) before closing?

A) The loan rate increased from 6.5% to 6.75%

B) The purchase agreement was amended to change the closing date

C) The borrower changed the loan program from FHA to conventional (affecting LTV calculation)

D) The borrower's employment was verified

[Loan Origination — Rate Locks]

69. A borrower locked at 7.0% for 45 days. After 44 days, all conditions are met but the underwriter is backed up. The lock expires tomorrow. The MLO should:

A) Tell the borrower the loan is cancelled

B) Contact the lock desk immediately to request a lock extension — explain the lender/underwriter delay is the cause

C) Tell the borrower to find a new lender

D) Do nothing and hope it closes

[Loan Origination — Application/1003]

70. A borrower discloses on the URLA that they have a current outstanding judgment for $12,000. The underwriter must:

A) Ignore it — declarations are informational only

B) Determine how the judgment will be resolved — FHA/VA/conventional all require judgments be paid or on an approved payment plan before or at closing

C) Deny the loan immediately

D) Require the borrower to dispute the judgment

[Loan Origination — Income Documentation]

71. A commission-only borrower has the following documented income: Year 1 = $88,000; Year 2 = $104,000. What is the qualifying monthly income?

A) $8,667 (Year 2 only — higher year)

B) $8,000 (Year 1 only — lower year)

C) $8,000 (lower year due to variability)

D) $8,000 monthly average = $96,000/yr avg

[Loan Origination — Credit Analysis]

72. When a borrower has fewer than three credit bureau scores reported, the lender should:

A) Deny the loan — three scores are always required

B) Use the lower of the two available scores (if two bureaus report); 'non-traditional credit' may be developed if no scores are available

C) Average all available scores

D) Request the borrower open new credit accounts

[Loan Origination — Closing/Funding]

73. At a 'table funding' closing, who provides the loan proceeds at the closing table?

A) The title company from escrow funds

B) The lender funds the loan simultaneously with closing (proceeds are wired to the settlement agent before or at closing)

C) The real estate agent

D) The borrower

[Loan Origination — Disclosures/TRID]

74. The 'Estimated Total Monthly Payment' on the Loan Estimate includes PITI plus:

A) Principal and interest only

B) Principal, interest, estimated mortgage insurance, and estimated escrow (taxes + insurance)

C) Only the principal payment

D) All closing costs divided by loan term

[Loan Origination — Application/1003]

75. A co-borrower's income is being used to qualify. The co-borrower is not on the title to the property. This is:

A) Illegal — all income contributors must be on title

B) Acceptable — co-borrowers contribute income and are responsible for the debt; they need not be on title

C) Not allowed for FHA loans

D) Required to be disclosed only at closing

[Loan Origination — Self-Employed Income]

76. A borrower owns 30% of an S-Corporation. Their K-1 shows $60,000 in distributions. Their W-2 from the S-Corp shows $45,000. Their personal tax return shows Schedule E losses of $8,000 from the S-Corp. Qualifying income:

A) $60,000 distributions only

B) $45,000 W-2 + $60,000 distributions - $8,000 loss = $97,000

C) $45,000 W-2 + ($60,000 - $8,000 business loss) = $97,000 / 2 years = $48,500/yr

D) W-2 income of $45,000 only; distributions and K-1 losses are excluded

[Loan Origination — DTI Calculations]

77. A borrower asks the MLO: 'How much home can I afford?' The MLO should:

A) Simply tell them the maximum loan amount

B) Calculate the maximum PITI at 43% DTI, then work backwards to estimate purchase price based on current rates, taxes, and insurance

C) Tell them to go online and use a mortgage calculator

D) Refuse — this is underwriting, not the MLO's role

[Loan Origination — Processing/Underwriting]

78. A borrower's paystub shows year-to-date (YTD) gross income of $48,000 after 8 months of the year. What is the annualized income?

A) $48,000

B) $72,000

C) $96,000

D) $60,000

[Loan Origination — Rate Locks]

79. A borrower's rate is locked at 6.875% for 30 days. The lender has a policy of offering 7-day extensions at 0.125% of loan amount. The borrower needs 10 days. What is the extension cost on a $280,000 loan?

A) One 7-day extension: $350

B) Two 7-day extensions (14 days needed to cover 10-day delay): $700

C) $175 (pro-rated for 10 days)

D) No extension is available — must relock

[Loan Origination — Application/1003]

80. Section 4 of the URLA (Loan and Property Information) includes all EXCEPT:

A) Loan purpose (purchase, refinance, etc.)

B) Property address and legal description

C) Borrower's current monthly debts

D) Loan amount and interest rate type requested

[Loan Origination — Income Documentation]

81. A borrower has been self-employed for only 14 months (less than 2 years). Under standard guidelines, their self-employment income:

A) Can be used with a 12-month average

B) Cannot be used — 2 years of self-employment history is required

C) Can be used if they have 2 years of prior employment in the same field before self-employment

D) Can be used with a letter from an accountant

[Loan Origination — Credit Analysis]

82. A borrower has a $650 unpaid collection from a medical provider and a $1,200 unpaid medical collection. Under FHA guidelines:

A) Both must be paid before FHA will insure the loan

B) Both may be ignored — FHA does not require payoff of medical collections

C) The $1,200 collection must be paid; $650 is below threshold

D) Both must have payment plans established

[Loan Origination — Closing/Funding]

83. A borrower's closing is scheduled for November 30. They ask why they're being charged for 31 days of per diem interest (through December 31). This is because:

A) Lenders can charge any amount of per diem interest

B) Per diem interest is collected from the closing date through the end of the month; closing on Nov 30 means 1 day of November interest only

C) Closing Nov 30 creates per diem from Nov 30 through Dec 31 = 32 days, not 31

D) Per diem interest covers the full first month's payment

[Loan Origination — Disclosures/TRID]

84. The Loan Estimate 'Comparisons' section helps borrowers by showing:

A) The best competing lender's rates

B) The APR, Total Interest Percentage (TIP), and In 5 Years amounts to compare different loan options

C) The lender's profit on the transaction

D) Current market rate ranges

[Loan Origination — Products/Programs]

85. What is a 'piggyback' loan structure (80-10-10)?

A) Three separate FHA loans on the same property

B) An 80% first mortgage, 10% second mortgage, and 10% down payment — avoiding PMI on a conventional loan

C) An FHA loan with 10% down and 10% seller concession

D) A jumbo loan split between two lenders

[Loan Origination — Income Documentation]

86. A borrower receives monthly rental income of $2,200 from a property they own free and clear (no mortgage). For qualifying, the lender should use:

A) $2,200 gross rent

B) $1,650 (75% of $2,200) with 2-year Schedule E history

C) $2,200 minus estimated expenses

D) $2,200 if the borrower provides 12 months of bank statements

[Loan Origination — Credit Analysis]

87. An FHA borrower has a disputed collection account showing on their credit report. The credit report shows this account raised their score by eliminating the negative entry. The underwriter should:

A) Accept the score with the disputed account

B) Require the dispute to be removed and the credit score to be recalculated without the dispute, as disputed accounts that are collections may not be ignored

C) Ignore the disputed collection if it's under $1,000

D) Deny the loan — disputed accounts are automatic disqualifiers

[Loan Origination — Application/1003]

88. Which statement about 'non-borrower' household members is MOST accurate for HomeReady loans?

A) Non-borrowers are never considered in underwriting

B) Non-borrower household income can be documented to provide additional context (boarder income) or reduce the DTI ratio under HomeReady's expanded income guidelines

C) Non-borrowers must be co-signers to be considered

D) Non-borrower income adds to DTI, not helps it

[Loan Origination — DTI Calculations]

89. A borrower has $5,000 gross monthly income and $1,200/month PITI. Monthly debts: auto $320, student $200, credit $65. Maximum FHA back-end DTI of 43%. What is the actual back-end DTI and how much headroom remains?

A) 35.7%; $364 headroom

B) 43%; no headroom

C) 35.7%; $364/month before hitting 43% back-end limit

D) 37%; $300 headroom

[Loan Origination — Processing/Underwriting]

90. A 'prior to funding' (PTF) condition is different from a 'prior to close' (PTC) condition in that:

A) PTF and PTC are the same thing

B) PTF conditions must be satisfied before the lender wires funds, even after closing documents are signed (common in dry funding states)

C) PTF conditions are only reviewed by the investor

D) PTC conditions are optional; PTF conditions are mandatory

[Loan Origination — Closing/Funding]

91. What is the 'HUD-1' settlement statement still used for in today's lending environment?

A) All purchase transactions

B) All FHA purchase loans

C) Reverse mortgages (HECMs) and transactions exempt from TRID

D) Only loans closed before 2015

[Loan Origination — Disclosures/TRID]

92. A Loan Estimate was issued showing a $1,200 origination fee. At closing, the origination fee on the CD is $1,350. Without a valid changed circumstance, the lender must:

A) Disclose the increase and proceed normally

B) Issue a refund of $150 to the borrower at or before closing (cure the zero-tolerance violation)

C) Reissue the LE with the corrected amount

D) Deny the loan

[Loan Origination — Rate Locks]

93. A borrower is purchasing a new construction home expected to close in 6 months. The MLO offers a 180-day lock. This lock will:

A) Have the same pricing as a 30-day lock

B) Cost significantly more (higher rate or points) than a 30-day lock due to the lender's increased interest rate risk over 180 days

C) Be free of charge — construction locks are always free

D) Be unavailable — locks cannot exceed 90 days

[Loan Origination — Application/1003]

94. When is a borrower required to update their loan application information?

A) Never — the original application is always used

B) When material changes occur between application and closing (new debts, employment changes, income changes)

C) Only at closing when they sign the certification

D) Every 30 days during processing

[Loan Origination — Income Documentation]

95. A borrower receives a combination of base salary ($3,500/month) and bonuses ($500/month average over 2 years). What is the total qualifying income?

A) $3,500/month (base only — bonuses not used)

B) $4,000/month (base + average bonus with 2-year history)

C) $4,000/month but bonus may be excluded if it declined in Year 2

D) $4,000 with proper documentation of 2-year bonus history

[Loan Origination — Credit Analysis]

96. How many years does a Chapter 7 bankruptcy remain on a credit report under FCRA (Fair Credit Reporting Act)?

A) 5 years

B) 7 years

C) 10 years

D) Indefinitely

[Loan Origination — Disclosures/TRID]

97. If a borrower selects an attorney for title work who is NOT on the lender's Written List of Providers, the fee for that attorney service falls under:

A) Zero tolerance

B) 10% tolerance

C) Unlimited tolerance (no cap)

D) 25% tolerance

[Loan Origination — Processing/Underwriting]

98. An appraisal comes in $50,000 below the purchase price on a home with 20% down (based on purchase price). What should the underwriter do?

A) Proceed — the borrower has adequate down payment

B) Recalculate the maximum loan based on the appraised value (lesser of two); require the borrower to bring additional funds or renegotiate the price

C) Order another appraisal automatically

D) Deny the loan — low appraisal always results in denial

[Loan Origination — Closing/Funding]

99. The disbursement of funds at closing in a purchase transaction typically goes to:

A) The borrower directly

B) The real estate agents for commission

C) The seller (after all costs and payoffs are deducted), real estate agents (commission), and settlement service providers — per the settlement statement

D) The lender as loan repayment

[Loan Origination — Application/1003]

100. A borrower who is a green card holder must provide which documentation to confirm eligible alien status for a conventional loan?

A) Passport only

B) Alien Registration Card (green card) or I-551 Stamp in passport — documentation of lawful permanent residency

C) Only an SSN

D) A letter from USCIS

[Loan Origination — DTI Calculations]

101. A borrower earns $110,000/year. All monthly debts (PITI + all others) = $4,200. What is the back-end DTI?

A) 45.8%

B) 45.8% — at or near the standard 45% limit

C) 38.2%

D) 40.5%

[Loan Origination — Income Documentation]

102. For a borrower paid bi-weekly (26 pay periods/year), monthly gross income is calculated as:

A) Pay × 2 (two payments per month)

B) Pay × 26 / 12 (annual to monthly conversion)

C) Pay × 24 / 12 (twice monthly)

D) Pay / 2 (half the bi-weekly check)

[Loan Origination — Products/Programs]

103. Which scenario would BEST qualify for a Fannie Mae HomeReady loan?

A) High-income borrower, 800 FICO, 30% down

B) Low-to-moderate income borrower, income ≤80% AMI, 640 FICO, 3% down, first-time buyer

C) Veteran with VA entitlement, 700 FICO

D) Self-employed borrower with 30% ownership, 720 FICO, 20% down

[Loan Origination — Processing/Underwriting]

104. Which of the following is typically verified during the pre-closing audit or pre-closing review?

A) The borrower's appraisal preferences

B) Borrower's continued employment (VVOE), insurance in place, no new debts added, title is clear, and all conditions are met

C) The lender's interest rate competitiveness

D) The real estate agent's license status

[Loan Origination — Rate Locks]

105. A borrower wants to lock in a rate but the property appraisal has not yet been ordered. Most lenders will:

A) Refuse to lock without an appraisal

B) Lock the rate on the application — the lock does not require a completed appraisal, but the loan is still subject to satisfactory appraisal

C) Allow locking only after appraisal completion

D) Require a 10-day appraisal before any rate lock

■■ Ethics ■■

[Ethics — Professional Conduct]

106. An MLO who originates loans only in low-income neighborhoods and charges fees 3-4x higher than their standard rates elsewhere may be engaging in:

A) Normal business practice — fees vary by market

B) Predatory lending and reverse redlining targeting protected classes

C) Ethical pricing differentiation

D) RESPA-compliant affiliated business

[Ethics — UDAAP]

107. Which of the following is a 'material misrepresentation' in a mortgage advertisement?

A) Accurately showing the APR of 6.5%

B) Advertising '3% rate!' without disclosing the APR or that this requires 5 discount points to achieve

C) Showing all applicable fees in the advertisement

D) Advertising 'rates as low as 6%' with clear asterisk disclosures

[Ethics — Fraud]

108. The FBI's mortgage fraud categories include 'fraud for property' and 'fraud for profit.' What is the PRIMARY distinction?

A) Fraud for property = commercial real estate; fraud for profit = residential

B) Fraud for property = borrower misrepresents to obtain a loan they couldn't otherwise qualify for; fraud for profit = industry insiders commit fraud to generate cash from real estate transactions

C) Fraud for property involves appraisers; fraud for profit involves MLOs

D) There is no meaningful distinction between the two

[Ethics — Professional Conduct]

109. An MLO discovers their manager instructed them to process a loan that the MLO suspects involves identity theft. The MLO should:

A) Follow the manager's instruction — it's not the MLO's decision

B) Refuse to process the loan, report the suspected fraud to the compliance/ethics hotline, and if needed, report to regulatory authorities

C) Process the loan and document that the manager ordered it

D) Ask the applicant if they are actually who they say they are

[Ethics — Fraud]

110. 'Loan flipping' in the mortgage context refers to:

A) Buying and selling mortgage-backed securities

B) Repeatedly refinancing a borrower into new loans primarily to generate fees, with no net benefit to the borrower

C) Selling a loan to the secondary market

D) Converting an ARM to a fixed rate

[Ethics — UDAAP]

111. A lender advertises 'Get approved in 24 hours — no income verification needed!' for residential mortgage loans. This advertisement:

A) Is acceptable if the lender can actually approve in 24 hours

B) Raises significant UDAAP concerns — 'no income verification' may advertise loans that violate ATR requirements for a covered transaction

C) Is required by Reg Z to show speed of approval

D) Is fine if followed by disclosures

[Ethics — Fraud]

112. An MLO is asked to sign as a witness on a document they did not witness being signed. The MLO should:

A) Sign if they trust the borrower

B) Refuse — signing as a witness to a document execution you did not observe is potentially fraudulent

C) Sign but note 'not present' next to their signature

D) Only refuse for FHA loans

[Ethics — Professional Conduct]

113. Which of the following BEST describes the ethical responsibility of an MLO regarding rate quotes?

A) Always quote the lowest possible rate to attract customers

B) Quote accurate rates based on current pricing and the borrower's actual profile — rates may change, but initial quotes should be as accurate as possible

C) Quote the rate the borrower wants to hear

D) Tell borrowers rates are always negotiable

[Ethics — UDAAP]

114. Which of the following is an example of an 'abusive' practice specific to mortgage lending?

A) Charging a competitive rate to all borrowers

B) Taking unreasonable advantage of a senior borrower's cognitive decline to sell them a product with excessive fees they don't understand

C) Requiring 20% down for investment properties

D) Explaining prepayment penalties clearly

[Ethics — Fraud]

115. Which federal agency primarily investigates and prosecutes mortgage fraud?

A) FHA

B) The Department of Veterans Affairs

C) The Federal Bureau of Investigation (FBI) in coordination with HUD-OIG and DOJ

D) The CFPB alone

■■ SAFE Act ■■

[SAFE Act — Licensing]

116. Which of the following actions, if performed for compensation, requires SAFE Act licensure?

A) Answering general questions about mortgage rates

B) Completing a pre-qualification worksheet for a borrower

C) Taking a residential mortgage loan application and offering terms

D) Reviewing a borrower's credit report without making credit decisions

[SAFE Act — NMLS/Registration]

117. What must a registered MLO (bank employee) do that a licensed MLO does not need to do?

A) Pass the NMLS National Test

B) Complete 20 hours of pre-licensing education

C) Register with NMLS through their depository employer — they are registered, not licensed, and have no exam or PE requirement

D) Complete 8 hours of annual CE

[SAFE Act — Licensing]

118. Which of the following would typically result in MANDATORY denial of an MLO license application?

A) One late payment on a student loan 5 years ago

B) A misdemeanor conviction for speeding 3 years ago

C) A felony conviction for mortgage fraud 8 years ago

D) A bankruptcy discharged 5 years ago

[SAFE Act — NMLS/Registration]

119. The NMLS national exam passing score and the number of scored questions are:

A) 70% passing; 100 scored questions

B) 75% passing; 115 scored questions

C) 80% passing; 120 scored questions

D) 75% passing; 125 total questions (115 scored + 10 unscored)

[SAFE Act — Licensing]

120. An MLO licensed in State A wants to originate one loan for a borrower in State B. The MLO must:

A) Proceed under State A license — it's just one loan

B) Obtain a State B license before originating the loan

C) Simply notify State B regulators informally

D) Use a different company name in State B

EXAM Phase 2 — Exam 4 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	A	2	D	3	C	4	B	5	A
6	D	7	C	8	B	9	A	10	D
11	C	12	B	13	A	14	D	15	C
16	B	17	A	18	D	19	C	20	B
21	A	22	D	23	C	24	B	25	A
26	D	27	C	28	B	29	A	30	D
31	C	32	B	33	A	34	D	35	C
36	B	37	A	38	D	39	C	40	B
41	A	42	D	43	C	44	B	45	A
46	D	47	C	48	B	49	A	50	D
51	C	52	B	53	A	54	D	55	C
56	B	57	A	58	D	59	C	60	B
61	A	62	D	63	C	64	B	65	A
66	D	67	C	68	B	69	A	70	D
71	C	72	B	73	A	74	D	75	C
76	B	77	A	78	D	79	C	80	B
81	A	82	D	83	C	84	B	85	A
86	D	87	C	88	B	89	A	90	D
91	C	92	B	93	A	94	D	95	C
96	B	97	A	98	D	99	C	100	B
101	A	102	D	103	C	104	B	105	A
106	D	107	C	108	B	109	A	110	D
111	C	112	B	113	A	114	D	115	C
116	B	117	A	118	D	119	C	120	B

1. A borrower has a 3-day Right of Rescission. They sign on a Tuesday. Saturday is not a federal holiday. When does the rescission period expire?

✓ A) Midnight Friday

Right of Rescission business days exclude Sunday and federal holidays. Tuesday signing: Day 1 = Wednesday, Day 2 = Thursday, Day 3 = Friday. Rescission expires midnight Friday. Saturday would be Day 4 if needed. Funds can be disbursed starting Saturday morning.

2. An applicant is told they MUST use a specific settlement attorney the lender owns an interest in. This violates:

✓ D) The SAFE Act licensing rules

RESPA Section 8(c) permits affiliated business arrangements ONLY if: disclosure is provided AND the consumer is NOT required to use the affiliated provider. Requiring use of an affiliated service (title, attorney, etc.) violates the voluntary-choice requirement of Section 8(c) and potentially Section 9. The lender can suggest but cannot mandate.

3. Which of the following best describes the ECOA's 'self-test' provision?

✓ C) A mandatory annual audit of all loan denials

ECOA's 'self-test' provision encourages lenders to voluntarily examine their lending practices for fair lending compliance. Results are privileged from discovery in legal proceedings IF the lender takes corrective action based on the results. This encourages honest self-assessment without creating automatic liability evidence.

4. A lender discovers a tolerance violation on a Closing Disclosure after the loan has already closed. The lender must cure the violation by:

✓ B) Issuing a corrected CD and providing a refund within 3 business days of discovery

TRID requires lenders to cure tolerance violations (refund excess fees) within 3 business days of settlement/consummation OR within 3 calendar years for certain violations discovered post-closing. For discovered violations after closing, the lender issues a corrected CD and mails a refund check to the borrower within the required timeframe.

5. The 'average prime offer rate' (APOR) is PRIMARILY used to:

✓ A) Set the maximum mortgage rate allowed by law

APOR (Average Prime Offer Rate) is published by the FFIEC and is used as a benchmark to identify higher-priced mortgage loans (HPMLs) under Regulation Z. A first-lien loan with APR ≥ APOR + 1.5% is an HPML. HPMLs trigger additional requirements (mandatory escrow for 5 years, AIR compliance, etc.).

6. Which of the following is required to appear on the NMLS Unique Identifier?

✓ D) Only on FHA loan documents

The SAFE Act requires the NMLS Unique Identifier to appear on: all residential mortgage loan applications, all advertisements and solicitations (websites, business cards, print ads, radio/TV), and solicitations related to residential mortgage origination. This allows consumers to verify MLO credentials through NMLS Consumer Access.

7. A Home Equity Line of Credit (HELOC) differs from a closed-end second mortgage in that a HELOC:

✓ C) Is only available for purchase transactions

A HELOC is an open-end credit product — the borrower can draw, repay, and redraw up to the credit limit during the draw period. A closed-end second mortgage (home equity loan) has fixed terms and a fixed disbursement. HELOCs are subject to TILA but exempt from ATR/QM rules. HELOCs typically have variable rates tied to an index.

8. Which of the following income sources CANNOT be excluded from consideration by a lender if the applicant offers it for qualifying?

✓ B) Public assistance income

Under ECOA/Regulation B, lenders cannot discriminate against applicants based on receipt of public assistance income. If a borrower offers public assistance income as qualifying income, the lender must consider it (subject to standard documentation requirements — duration, consistency). Excluding it simply because it's public assistance violates ECOA.

9. Under TRID, if the annual percentage rate (APR) on the initial LE is 5.75% and the final CD shows 5.88%, for a fixed-rate loan, is a new 3-day waiting period required?

✓ A) Yes — any APR change triggers a new waiting period

A new 3-day CD waiting period is triggered when APR INCREASES by more than 1/8% (0.125%) for fixed-rate loans. 5.88% - 5.75% = 0.13%, which exceeds 0.125%. Therefore a NEW 3-day waiting period IS required. This is a close call: 0.13% > 0.125%. The threshold is 'more than' 0.125%, so 0.13% triggers it.

10. What is the purpose of the HUD-1 Settlement Statement in today's lending environment?

✓ D) It is used only for commercial mortgage transactions

Since October 3, 2015, the Closing Disclosure replaced the HUD-1 for most TRID-covered transactions. The HUD-1 remains in use for: reverse mortgages (HECMs), RESPA-exempt transactions, and certain business/commercial loans. The HUD-1A was used for refinances under the old system. Most MLOs will still encounter HUD-1s in the reverse mortgage context.

11. Under Regulation Z, which loan is typically EXEMPT from TILA disclosure requirements?

✓ C) An FHA purchase loan

TILA and Regulation Z apply to consumer credit transactions — loans for personal, family, or household purposes. Business and commercial purpose loans are generally exempt from TILA. A commercial loan for business purposes (even if secured by real property) is typically exempt. Residential mortgages for personal use are covered by TILA.

12. A pregnant borrower is told her loan application will be denied 'because you won't be working much longer.' This violates ECOA's prohibition on discrimination based on:

✓ B) Sex (and potentially marital/familial status)

Denying credit based on pregnancy violates ECOA's prohibition on sex discrimination (and potentially familial status under the Fair Housing Act). An MLO cannot assume a pregnant borrower will stop working or that pregnancy affects creditworthiness. Current income and credit history are what matter — not assumptions about future employment based on sex/pregnancy.

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13. Under RESPA's escrow account rules, if a year-end escrow analysis shows a surplus of $240, the servicer must:

✓ A) Keep the surplus to build reserves

RESPA requires: if escrow surplus exceeds $50 after the annual analysis, the servicer must refund within 30 business days of the escrow disclosure statement OR apply it to reduce the next year's escrow payment. A $240 surplus clearly exceeds $50, so it must be returned or credited.

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14. The 'total of payments' on the Loan Estimate represents:

✓ D) The amount borrowed

The 'Total of Payments' on the LE (and CD) is the total dollar amount paid over the full loan term: all scheduled principal, interest, mortgage insurance, and loan costs paid to the lender. It helps borrowers understand the full long-term cost of the loan. Not to be confused with the total interest paid (TIP), which is interest only.

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15. Which statement about the HMDA (Home Mortgage Disclosure Act) is MOST accurate?

✓ C) HMDA applies only to commercial lenders

HMDA requires covered lenders to collect and publicly disclose mortgage lending data — including loan purpose, amount, property location, and applicant demographics. This data is used by regulators, researchers, and community groups to identify potential fair lending patterns (disparate impact or disparate treatment). HMDA is a reporting/transparency law, not a prohibition on discrimination (ECOA/FHA do that).

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16. A borrower with a 540 FICO has a judgment of $8,000 on their credit report. To qualify for FHA, they MOST likely must:

✓ B) Pay off the judgment or set up a court-approved payment plan prior to loan approval

FHA requires that outstanding judgments be paid off or have an established payment plan with documentation, and a minimum of 12 months of payments made (in some cases). The $8,000 judgment plus the 540 FICO creates a high-risk profile. FHA does not allow borrowers to close with unresolved judgments in most cases — resolution is required.

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17. A VA borrower with a 610 FICO applies for a VA loan. Most lenders have an overlay requiring 620 minimum. Can the veteran get a VA loan?

✓ A) Yes — VA has no credit score minimum

The VA itself has no minimum credit score requirement — the VA focuses on overall credit history and residual income. However, most lenders impose their own overlays (typically 620 minimum) above the VA's guidelines. The veteran may need to find a lender that accepts 610 FICO with VA loans, or work on improving the score. VA's own guidelines allow lower scores; lender overlays are the practical barrier.

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18. A borrower is interested in USDA but their income is $92,000 and the area's 115% AMI limit is $89,000. What are the borrower's options?

✓ D) Apply through a different county USDA office

USDA income limits are firm — if household income exceeds 115% of area median income, the borrower is ineligible for USDA guaranteed loans regardless of other factors. At $92,000 vs. $89,000 limit, the borrower must use FHA (3.5% down), conventional, VA (if eligible), or a jumbo loan. USDA income limits include all household members, not just borrowers.

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19. A borrower applies for a conventional loan with only 6 months of employment at a new job in the same field as their prior employer. Fannie Mae typically requires:

✓ C) Verification of employment continuity in the same field; 2-year employment history (with job changes in same field often acceptable)

Fannie Mae requires a 2-year employment history (not necessarily 2 years at the same employer). Job changes within the same profession/field are generally acceptable as long as there are no gaps. A change to a new employer in the same field after 6 months is typically acceptable if it shows career progression and the overall 2-year history is documented.

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20. A borrower experienced a foreclosure 2 years ago due to documented job loss (extenuating circumstances). Under standard FHA guidelines, they:

✓ B) May be eligible under the standard waiting period reduction — FHA allows 1-year exception with documented extenuating circumstances

FHA's standard foreclosure waiting period is 3 years. With documented extenuating circumstances (significant loss of income or employment beyond the borrower's control — job loss, medical emergency), FHA may reduce the waiting period to 1 year, provided the borrower has re-established credit and meets all other requirements. 2 years with documented job loss meets the 1-year exception.

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21. A borrower with $6,000 gross monthly income has 43% maximum DTI and $900 in existing monthly debts. What is the maximum PITI?

✓ A) $1,680

Maximum total debt = $6,000 × 43% = $2,580. Maximum PITI = $2,580 - $900 (existing debts) = $1,680. This is the standard DTI back-calculation. The front-end ratio (housing only) must also be checked against program-specific limits.

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22. A borrower's home value has increased significantly. They call to ask how to remove PMI. The lender should advise:

✓ D) PMI cannot be removed once applied

The Homeowners Protection Act (HPA) governs PMI cancellation: automatic = 78% of original value per schedule; borrower request = 80% of original value with good payment history. A new appraisal showing current value above original can help if the lender has guidelines for early cancellation based on current LTV, but HPA's automatic provisions use original value. Appreciate the nuance.

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23. A borrower is considering a 10/6 ARM. The '10' means:

✓ C) The loan adjusts 10 times

In ARM notation X/Y: X = initial fixed-rate period in years = 10 years fixed. Y = adjustment frequency = 6 months (semi-annually after year 10). A 10/6 ARM has a 10-year fixed initial period, then adjusts every 6 months. Popular for borrowers who plan to sell or refinance within 10 years.

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24. A borrower's loan has a 3.5% fee for points and origination. The loan amount is $150,000. Does this loan meet QM requirements?

✓ B) No — points and fees exceeding 3% ($4,500) make the loan non-QM

QM points and fees cap = 3% for loans ≥$100,000. On $150,000: 3% = $4,500 maximum. 3.5% × $150,000 = $5,250. This EXCEEDS the $4,500 maximum, making the loan non-QM. The 3% limit is firm for loans in this range. (Note: for smaller loans under $100,000, higher percentage thresholds apply.)

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25. A home appraises at $290,000. The borrower wants to put 5% down. The purchase price is $305,000. What is the loan amount and what value is used for LTV?

✓ A) Loan: $289,750; LTV on $290,000 = 99.9%

LTV always uses the LESSER of purchase price ($305,000) or appraised value ($290,000). Lesser = $290,000. Down payment = $305,000 × 5% = $15,250. Loan = $305,000 - $15,250 = $289,750. LTV = $289,750 / $290,000 = 99.9%. This is very high LTV. The borrower is essentially financing the full appraised value plus some.

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26. A surviving spouse of a veteran killed in action (KIA) who has not remarried wants to apply for a VA loan. The surviving spouse:

✓ D) Is only eligible for VA benefits if the veteran had remaining entitlement

Surviving spouses of veterans who died in service or from service-connected disabilities are eligible for VA home loan benefits (provided they have not remarried, or in some cases remarried after age 57). The surviving spouse applies for a COE just like a veteran. This is an important eligibility category that is tested on the NMLS exam.

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27. What is the maximum loan at 95% LTV for a $380,000 purchase price with an appraised value of $375,000?

✓ C) $380,000 × 95% = $361,000

LTV uses the lesser of purchase ($380,000) or appraised ($375,000) = $375,000. Max loan = $375,000 × 95% = $356,250. The borrower needs: $380,000 purchase - $356,250 loan = $23,750 total contribution (down payment + appraisal gap). This is a critical exam concept — the lender will not lend based on the purchase price if the appraised value is lower.

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28. A borrower wants to finance a new roof on their USDA-financed home. Which program allows home improvement financing into a USDA loan?

✓ B) USDA Section 504 (grants/loans for repairs) and USDA Combination Loans can include improvement costs

USDA has programs for home repairs/improvements including: Section 504 Home Repair Program (grants and loans for very-low-income rural homeowners for essential repairs) and the ability to include improvement costs in certain USDA loans. For a financed home improvement into a USDA loan, the standard USDA Guaranteed loan may allow modest improvements at purchase. FHA 203(k) is a separate alternative for renovation financing.

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29. A borrower applies for a Fannie Mae loan and discloses they plan to rent out the property within 60 days of closing. This makes the property:

✓ A) An owner-occupied primary residence

Intent to rent the property is what determines occupancy type — not just the initial occupancy. If the borrower discloses plans to rent within 60 days of closing, Fannie Mae would classify this as an investment property, requiring 15-25% down payment, higher rates (investment property pricing), and a rental income analysis. Misrepresenting this is occupancy fraud.

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30. A non-U.S. citizen with lawful permanent resident alien status (green card) applies for an FHA loan. They are:

✓ D) Eligible but limited to 80% LTV

FHA does not require U.S. citizenship. Lawful permanent resident aliens (green card holders) are eligible for FHA loans on the same basis as U.S. citizens. Non-permanent resident aliens may also qualify with appropriate work visa documentation. The primary requirement is lawful presence in the U.S., not citizenship.

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31. Interest rate caps on an ARM protect the borrower from:

✓ C) Rate decreases — floors protect the lender

Interest rate caps (floor/ceiling structure) on ARMs protect borrowers from unlimited rate increases. The cap structure (X/Y/Z: initial/periodic/lifetime) limits: the rate change at the first adjustment (initial cap), each subsequent adjustment (periodic cap), and the total change over the loan's life (lifetime cap). Floors are lender protections from rate decreasing below the margin.

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32. A borrower has a DTI of 47%. Their credit score is 780 and they have 18 months PITI in reserves. Under Fannie Mae DU, this loan would MOST likely:

✓ B) Be approved — DU can go up to 50% with strong compensating factors (780 FICO, 18 months reserves)

DU's maximum DTI is 50% with strong compensating factors. 47% DTI with 780 FICO and 18 months reserves (both excellent compensating factors) is well within DU's expanded approval range. This is precisely the type of profile DU is designed to approve above the standard 45% guideline — exceptional credit and reserves offset higher DTI.

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33. FHA loan: Purchase price $350,000, 3.5% down, UFMIP 1.75%. Calculate: down payment, base loan, UFMIP, and total funded loan.

✓ A) Down: $12,250; Base: $337,750; UFMIP: $5,910.63; Total: $343,660.63

Down payment = $350,000 × 3.5% = $12,250. Base loan = $350,000 - $12,250 = $337,750. UFMIP = $337,750 × 1.75% = $5,910.625 ≈ $5,910.63. Total financed = $337,750 + $5,910.63 = $343,660.63. The UFMIP is calculated on the BASE LOAN AMOUNT (not purchase price), then added to the base loan if financed.

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34. A title search reveals an old unpaid mechanic's lien from a contractor who worked on the property 8 years ago. At closing, this lien must typically be:

✓ D) Transferred to the buyer as an assumed liability

Known, existing liens must be cleared (paid, released, or otherwise resolved) before the lender can fund and before clean title can be issued. Title insurance does not cover known defects — it insures against unknown title defects. The mechanic's lien must be resolved at or before closing, typically from the seller's proceeds.

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35. When comparing the total cost of FHA MIP (life of loan) vs. conventional PMI (cancels at 78% LTV), at what approximate point does FHA become more expensive in total MI cost?

✓ C) FHA is always more expensive

For borrowers who will reach 78-80% LTV within 7-10 years, conventional PMI (which then stops) often results in lower total MI cost than FHA MIP that continues for the life of the loan. The crossover point depends on rates, loan amounts, and how fast the borrower pays down the loan. Short-term: FHA may be cheaper. Long-term: conventional (once PMI cancels) is usually less expensive in total MI cost.

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36. A jumbo loan applicant has 720 FICO, 20% down, and $2.2 million purchase price. The conforming limit is $766,550. This loan is MOST accurately described as:

✓ B) Non-conforming / jumbo loan requiring portfolio lender or private securitization

At $2.2M purchase with 20% down = $1.76M loan amount, which far exceeds the 2024 conforming limit ($766,550) and even the high-balance limit ($1,149,825). This is a jumbo loan that cannot be sold to Fannie/Freddie and must be held in portfolio or privately securitized. 720 FICO and 20% down are typical minimums for jumbo programs.

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37. After foreclosure completed 2 years and 8 months ago, is a borrower eligible for USDA?

✓ A) Yes — USDA requires only 2 years

USDA requires a 3-year waiting period from the completion of a foreclosure. At 2 years and 8 months, the borrower has NOT met the 3-year requirement. They are ineligible for USDA. VA (2 years) and FHA (3 years) have similar requirements. Conventional requires 7 years. At 2yr 8mo, only VA (if eligible military) would be available.

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38. A borrower's monthly income is $9,500. Their back-end DTI is 38%. What are their total monthly debt obligations?

✓ D) $3,800 total debts

Total monthly debts = gross income × DTI = $9,500 × 38% = $3,610. This includes PITI plus all monthly debt obligations. If the PITI is $2,400, then non-housing debts = $3,610 - $2,400 = $1,210. The DTI calculation always uses gross (pre-tax) income.

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39. FHA's minimum property standards (MPS) require the property to be:

✓ C) Worth exactly the purchase price

FHA Minimum Property Standards require properties to be: safe (free from hazards), sound (structurally sound), and sanitary (basic utilities and systems functional). FHA appraisers note MPR (Minimum Property Requirement) issues requiring repair before closing. Properties in significantly deficient condition may require FHA 203(k) or fail to qualify for standard FHA financing.

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40. A borrower is in year 8 of a 10/6 ARM. The current rate is 5.5%. The index is 4.0% and margin is 2.75%. The periodic cap is 2%. What is the MAXIMUM rate at next adjustment?

✓ B) 7.5%

The fully indexed rate = 4.0% (index) + 2.75% (margin) = 6.75%. The periodic cap limits the change from current rate: current rate + periodic cap = 5.5% + 2% = 7.5%. The rate will adjust to the LESSER of fully indexed or cap-limited rate. Fully indexed = 6.75%; cap-limited = 7.5%. Since 6.75% < 7.5%, the rate adjusts to 6.75% (cap doesn't bind here, but max possible was 7.5%).

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41. Which of the following is a 'loan level price adjustment' (LLPA)?

✓ A) A state-imposed tax on mortgage transactions

Loan Level Price Adjustments (LLPAs) are fees imposed by Fannie Mae and Freddie Mac on mortgage loans based on risk factors: credit score, LTV, loan purpose, property type (condo, 2-4 unit, investment), and loan term. LLPAs are charged to the lender and typically passed to the borrower as higher rates or points. They explain why lower credit scores or higher LTVs result in higher mortgage pricing.

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42. A borrower has compensating factors: 790 FICO, 3 months reserves, and low LTV of 70%. Their back-end DTI is 44%. Under FHA manual underwriting, this borrower MOST likely:

✓ D) Is approved automatically

FHA manual underwriting guidelines allow DTI up to 45-50% when two or more compensating factors are present. A 790 FICO (strong), 3 months reserves (meets the 3-month requirement), and 70% LTV (very low) are all strong compensating factors. At 44% DTI with these factors, a manual underwriter may approve the loan.

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43. A loan has a balance of $180,000 at 6.5% interest rate. What is the monthly interest accrued on this balance?

✓ C) $875

Monthly interest = Principal × Annual Rate / 12 = $180,000 × 6.5% / 12 = $180,000 × 0.065 / 12 = $11,700 / 12 = $975. This is the interest portion of the first month's payment. As the balance decreases, less of each payment goes to interest and more to principal (amortization).

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44. An MLO receives an appraisal showing value $20,000 below the purchase price. The MLO should:

✓ B) Inform the borrower — the loan will be based on the appraised value (lesser of purchase/appraised)

When an appraisal comes in low, the MLO must inform the borrower that LTV (and therefore maximum loan amount) will be based on the appraised value. Options for the borrower: (1) negotiate the purchase price down with the seller, (2) bring additional cash to cover the gap, (3) request a reconsideration of value (with new comp evidence), or (4) cancel the transaction. The MLO cannot pressure the appraiser.

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45. An FHA streamline refinance can be done WITHOUT an appraisal. Which statement is MOST accurate about this feature?

✓ A) No appraisal means the LTV is always assumed to be 80%

FHA streamline without appraisal uses the existing loan balance as the basis (not current value). The new loan amount is limited to the outstanding principal balance plus UFMIP + allowable costs, not recalculated on current LTV. This protects borrowers who may be underwater — they can still streamline and get a lower rate without proving equity.

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46. VA's residual income requirement is calculated by subtracting which expenses from gross monthly income?

✓ D) PITI and credit card minimums only

VA residual income = gross income minus: federal and state income taxes, social security deductions, proposed PITI, all monthly debts, job-related expenses, and estimated maintenance costs (based on square footage by region). The result must meet regional minimums by family size. This comprehensive deduction makes residual income more conservative than DTI.

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47. A $220,000 FHA loan at 6.75% for 30 years uses a payment factor of $6.489 per $1,000. What is the monthly P&I;?

✓ C) $1,500.00

Monthly P&I; = (220,000/1,000) × $6.489 = 220 × $6.489 = $1,427.58. This is the standard factor calculation. The UFMIP-included loan would be slightly higher but this question asks about the stated $220,000 loan amount.

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48. A USDA borrower wants to add a pool to the property using USDA financing. The program allows:

✓ B) Improvements that are health or safety related; luxury items like pools are generally not eligible

USDA loan programs focus on modest, adequate housing in eligible rural areas. Luxury improvements (pools, hot tubs, tennis courts) are generally not eligible for USDA financing. Improvements must be for health, safety, or structural adequacy. This is a common restriction unique to government rural development programs designed for moderate housing.

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49. A borrower with 680 FICO and 90% LTV on a $300,000 conventional loan will pay which type of pricing adjustment?

✓ A) No adjustment — 680 FICO is excellent

LLPAs are assessed based on the combination of credit score AND LTV. At 680 FICO + 90% LTV, multiple risk factors trigger adjustments. The LLPA grid (published by Fannie/Freddie) shows the fee percentage based on these intersecting factors. These adjustments are added to the base guarantee fee and result in higher rates or additional points compared to better-credit/lower-LTV loans.

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50. Using the rule of 72, how many years does it take for a real estate investment value to double at 6% annual appreciation?

✓ D) 6 years

Rule of 72: Years to double = 72 / interest rate = 72 / 6 = 12 years. The Rule of 72 is a quick mental math shortcut for estimating doubling time. At 6% annual appreciation, property value doubles in approximately 12 years. (At 8%, it would take 9 years; at 12%, about 6 years.)

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51. A borrower is 'rate-sensitive' and worried about payment increases. Which ARM feature BEST protects them from large payment jumps?

✓ C) High index (e.g., 5%)

The periodic cap limits how much the rate can change at each adjustment. A tight 1% periodic cap means the rate can only increase/decrease 1% at each adjustment, limiting monthly payment shock. A high lifetime cap offers little protection against rapid sequential increases. The initial fixed period delays the first adjustment but doesn't protect against large post-adjustment changes.

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52. A non-QM loan with a 60% LTV, 800 FICO, and extensive reserves is made by a lender. Under ATR, the lender:

✓ B) Still must comply with ATR by documenting income, employment, credit, and ability to repay — ATR applies to all covered loans regardless of QM status

ATR applies to ALL covered closed-end mortgage loans regardless of whether they are QM or non-QM. Non-QM loans don't get QM's safe harbor/rebuttable presumption protection, but the lender MUST still comply with ATR by documenting all 8 factors. Excellent borrower profile doesn't exempt the lender from ATR compliance documentation.

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53. A borrower is purchasing a 2-unit property (duplex) with an FHA loan and will occupy one unit. The maximum FHA loan limit for a 2-unit property is higher than for a 1-unit. This is because:

✓ A) FHA charges higher fees on multi-unit properties

FHA loan limits are set by number of units: 1-unit (baseline), 2-unit (typically 28% higher), 3-unit (even higher), 4-unit (highest). Multi-unit properties cost more to purchase, so limits scale up. Borrowers purchasing 2-4 unit properties must occupy one unit as their primary residence. Down payment for 2-4 units is still 3.5% for 580+ FICO.

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54. A USDA borrower has a $240,000 base loan. Upfront guarantee fee = 1% = $2,400 (financed). Annual fee = 0.35%. Monthly fee = ?

✓ D) $84.00

Monthly USDA guarantee fee = outstanding balance × 0.35% / 12. On the base $240,000: $240,000 × 0.35% = $840 / 12 = $70. If calculated on the total financed ($242,400): $242,400 × 0.35% = $848.40 / 12 = $70.70. Standard practice uses the outstanding balance (which starts at $242,400 if UFMIP financed).

---

55. A borrower makes extra principal payments on a conventional loan with PMI and reaches 80% LTV in 4 years (instead of the scheduled 8 years). Can they request PMI cancellation?

✓ C) No — early payments don't count for PMI purposes

Borrowers who make extra payments to reach 80% LTV faster than the scheduled amortization CAN request PMI cancellation — the HPA allows this. Requirements: 80% LTV based on original property value, good payment history (no 30-day lates in the past year), the lender may require a new appraisal confirming value hasn't declined. The borrower must initiate the written request.

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56. What is the minimum down payment for a conventional loan on a second/vacation home?

✓ B) 5%

Second homes (vacation homes) require a minimum 10% down payment under Fannie Mae/Freddie Mac guidelines. Investment properties typically require 15-25% down. Primary residences can use as little as 3% (HomeReady/Home Possible) or 5% (standard conventional). The higher down payment requirement for second homes reflects the lower priority these properties have in financial hardship.

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57. A VA borrower who has their full entitlement used on an existing loan wants to purchase a second home using a second VA loan. This is:

✓ A) Impossible — VA loans are one-time use

Veterans can use VA benefits multiple times. If a veteran has used some entitlement but has remaining entitlement available (second-tier entitlement), they may be able to obtain a second VA loan without paying off the first. The calculation depends on county loan limits, remaining entitlement, and whether the veteran has paid off the first VA loan. VA loans can be concurrent.

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58. Which of the following would NOT be considered a 'comparable sale' for residential appraisal purposes?

✓ D) A new construction home in the same zip code that sold 4 months ago

Foreclosure/distress sales (REO, short sales) may not be used as comparable sales in most appraisals because they don't represent arm's length transactions between motivated buyers and sellers in a competitive open market. Appraisers use market value comparables — standard sales under normal conditions. Using a forced-sale foreclosure comp would typically understate market value.

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59. For an FHA loan, can the seller pay discount points to buy down the borrower's rate?

✓ C) Yes, but points reduce the FHA loan limit

Seller concessions on FHA loans (up to 6% of the lesser of purchase price or appraised value) can include: discount points, prepaids, closing costs, and other allowable items. Discount points paid by the seller to reduce the borrower's rate are a permitted seller concession. However, if total concessions exceed 6%, the excess reduces the purchase price for FHA LTV purposes.

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60. An MLO is reviewing a file where the borrower's income supports the loan but the property is in a declining market where values have fallen 15% in the past year. The underwriter should:

✓ B) Order a new appraisal with a market conditions addendum to document the decline; the appraiser may use an 'as-is' value that reflects current declining conditions

Declining market conditions are material to the underwriting decision. Appraisers in declining markets complete a Market Conditions Addendum (Form 1004MC) documenting the trend. Lenders may impose additional requirements: larger down payments, adjustment to comparable selection, or additional review. The appraisal must reflect current market conditions — a declining market appraisal will typically show lower value than the prior year.

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61. A borrower states their income is $9,000/month on the 1003 but their tax returns show $7,200/month (average). The lender should use:

✓ A) $9,000 — borrower attestation controls

The fundamental ATR principle: verified income from tax returns and other documentation controls over stated income. If the tax returns show $7,200 and the borrower states $9,000, the lender must use the documented and verified figure ($7,200). Using stated income over documented income violates ATR and is a form of income fraud if done deliberately.

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62. A borrower is transitioning from military to civilian employment and starts a new job 30 days before the loan closes. The new job is in a field related to their military service. Can the income be used?

✓ D) Only if the new employer provides 2 years of pay history

Military-to-civilian transitions are a recognized exception to the standard 2-year employment history requirement. With an offer letter or employment contract at a firm start date (and paystub if available), and documentation of the military service connection to the new civilian job, lenders (especially VA) may accept this as qualifying income. Fannie Mae also has specific guidance for offer letters for new employment.

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63. A borrower's Schedule C shows gross revenue of $200,000 and business expenses of $155,000. Depreciation on the Schedule C is $12,000. What is the qualifying monthly income?

✓ C) $16,667 (gross revenue / 12)

Net profit = $200,000 - $155,000 = $45,000. Add back depreciation (non-cash): $45,000 + $12,000 = $57,000. Monthly qualifying income = $57,000 / 12 = $4,750/month. The depreciation add-back is always applied to Schedule C income because depreciation reduces taxable income but doesn't reduce cash flow.

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64. A borrower's gross income is $7,800/month. Total monthly debts (PITI + all debts) = $3,200. What is the back-end DTI and does it qualify for FHA (43% guideline)?

✓ B) 41.0%; Yes, within FHA's 43% guideline

Back-end DTI = $3,200 / $7,800 = 41.03% ≈ 41.0%. FHA's guideline is 43% maximum. 41% < 43%, so this is within FHA's standard guideline. The loan would also pass the front-end review if PITI alone is ≤31% × $7,800 = $2,418. This is a passing DTI for FHA.

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65. A borrower has a 680 FICO with a recent 60-day late payment on a credit card (3 months ago). What is the likely underwriting impact?

✓ A) No impact — one late payment is acceptable

A recent 60-day late payment (within the past 12 months) is a significant negative credit event that AUS systems weight heavily. DU/LP may issue a 'Refer' finding rather than 'Approve,' requiring manual underwriting. It likely impacts the credit score and increases pricing through LLPAs. A letter of explanation is standard. The 680 FICO with recent derogatory credit creates underwriting challenges.

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66. A borrower acknowledges the Loan Estimate and submits payment for the appraisal ($550). The appraiser's invoiced fee comes in at $625. This $75 increase is subject to:

✓ D) Zero tolerance only if lender selected the appraiser

Appraisals are a service the borrower CANNOT shop for (Section B on the LE). Services in Section B are subject to 10% aggregate tolerance. The appraisal fee increase of $75 on $550 = 13.6% individually — but the test is the AGGREGATE of all Section B services, not any one individually. If the aggregate increase is within 10%, no cure is needed.

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67. Which loan product allows a veteran to finance 100% of the purchase price including VA funding fee in some cases?

✓ C) USDA with 1% guarantee fee

VA loans allow 100% financing of the purchase price with the VA funding fee (2.15% first use, 0% down) financed on top. The total loan can exceed the purchase price by the amount of the funded fee. For example: $300,000 purchase = $300,000 base loan + $6,450 funding fee = $306,450 total financed. This is the only standard program allowing 100%+ financing.

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68. Which of the following conditions would MOST likely require a 'recertification of value' (new appraisal review) before closing?

✓ B) The purchase agreement was amended to change the closing date

A program change (FHA to conventional) may require a recertification of value because: the LTV calculation may differ, the appraisal must meet the new program's requirements (conventional vs. FHA MPR standards), and the appraisal report type may need to change. A simple date or rate change doesn't trigger reappraisal, but a program change that affects the appraisal's basis or requirements does.

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69. A borrower locked at 7.0% for 45 days. After 44 days, all conditions are met but the underwriter is backed up. The lock expires tomorrow. The MLO should:

✓ A) Tell the borrower the loan is cancelled

The MLO must proactively manage the lock and contact the secondary market/lock desk immediately when expiration is imminent. Since the delay is due to underwriter backlog (lender delay, not borrower), many lenders will extend at no cost to the borrower. Waiting until expiration or doing nothing are irresponsible — the MLO must advocate for the borrower and communicate urgently.

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70. A borrower discloses on the URLA that they have a current outstanding judgment for $12,000. The underwriter must:

✓ D) Require the borrower to dispute the judgment

A disclosed judgment on the URLA must be addressed in underwriting. Standard requirements: the judgment must be paid off (proof at closing) or the borrower must have an established payment plan with 12+ months of payments made (and the monthly payment included in DTI). Ignoring a judgment and proceeding to close creates title issues and investor repurchase risk.

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71. A commission-only borrower has the following documented income: Year 1 = $88,000; Year 2 = $104,000. What is the qualifying monthly income?

✓ C) $8,000 (lower year due to variability)

Commission income averaged over 2 years: ($88,000 + $104,000) / 24 = $192,000 / 24 = $8,000/month. Since income is INCREASING (positive trend), the average is used. If income were declining, the lower year would be used. The 24-month average reflects the volatility of commission income over a 2-year cycle.

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72. When a borrower has fewer than three credit bureau scores reported, the lender should:

✓ B) Use the lower of the two available scores (if two bureaus report); 'non-traditional credit' may be developed if no scores are available

With fewer than 3 bureau scores: if 2 bureaus report, use the lower of the two. If only 1 bureau reports, use that score. If no scores exist, many programs allow 'non-traditional credit' verification (rent payments, utilities, insurance payments) to establish credit history. Automatic denial for thin credit files is not required if non-traditional credit can be established.

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73. At a 'table funding' closing, who provides the loan proceeds at the closing table?

✓ A) The title company from escrow funds

Table funding is a settlement where the lender provides funds at closing so the loan is funded at the same time documents are signed (same as wet closing). The lender wires proceeds to the settlement agent (title company or attorney) who then disburses to the seller. This is distinct from 'dry closing' where funding occurs after documents are reviewed.

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74. The 'Estimated Total Monthly Payment' on the Loan Estimate includes PITI plus:

✓ D) All closing costs divided by loan term

The Loan Estimate's Estimated Total Monthly Payment = Principal + Interest + Mortgage Insurance (PMI or MIP) + Estimated Escrow (property taxes + homeowner's insurance + flood insurance if applicable). This total gives borrowers the full monthly obligation, not just the P&I; payment shown by lenders in advertisements.

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75. A co-borrower's income is being used to qualify. The co-borrower is not on the title to the property. This is:

✓ C) Not allowed for FHA loans

Co-borrowers contribute their income, assets, and credit to the loan qualification and are legally obligated for the debt. They do not need to be on title to the property (though they often are). A common scenario: spouses in community property states may need to be a co-borrower for credit purposes even without being on title. Non-occupant co-borrowers are allowed by many programs.

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76. A borrower owns 30% of an S-Corporation. Their K-1 shows $60,000 in distributions. Their W-2 from the S-Corp shows $45,000. Their personal tax return shows Schedule E losses of $8,000 from the S-Corp. Qualifying income:

✓ B) $45,000 W-2 + $60,000 distributions - $8,000 loss = $97,000

S-Corp income for self-employed borrowers (25%+ ownership): W-2 wages + K-1 pass-through income/loss. The Schedule E loss (-$8,000) must be subtracted. Calculation: $45,000 (W-2) + $60,000 (distributions) - $8,000 (Schedule E loss) = $97,000 total, averaged over 2 years. The exact calculation requires both years' returns for accurate averaging.

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77. A borrower asks the MLO: 'How much home can I afford?' The MLO should:

✓ A) Simply tell them the maximum loan amount

Calculating affordability is a core MLO function: (1) establish gross income, (2) identify existing monthly debts, (3) determine maximum PITI at the applicable DTI limit, (4) subtract estimated taxes, insurance, and MI from max PITI to get max P&I;, (5) use payment factor tables to convert max P&I; to loan amount, (6) add down payment to estimate purchase price. This is the standard pre-qualification process.

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78. A borrower's paystub shows year-to-date (YTD) gross income of $48,000 after 8 months of the year. What is the annualized income?

✓ D) $60,000

Annualized income = YTD income / months elapsed × 12 = $48,000 / 8 × 12 = $6,000/month × 12 = $72,000/year. This annualization is compared to W-2 earnings and tax return income to verify consistency. If annualized YTD is significantly higher or lower than prior years, it requires explanation.

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79. A borrower's rate is locked at 6.875% for 30 days. The lender has a policy of offering 7-day extensions at 0.125% of loan amount. The borrower needs 10 days. What is the extension cost on a $280,000 loan?

✓ C) $175 (pro-rated for 10 days)

Extension policies typically charge by defined periods (e.g., 7-day blocks). For 10 days of additional time, the borrower needs 2 separate 7-day extensions (14 days covers the 10-day need). Cost = 2 × $280,000 × 0.125% = 2 × $350 = $700. Extensions must be requested before the lock expires, not after.

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80. Section 4 of the URLA (Loan and Property Information) includes all EXCEPT:

✓ B) Property address and legal description

Section 4 of the URLA contains loan information (amount, purpose, program, rate type) and property information (address, description, number of units). Borrower's current monthly debts (liabilities) are in Section 2 (Financial Information — Liabilities). Declarations are in Section 5. Knowing which section contains which information is tested on the NMLS exam.

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81. A borrower has been self-employed for only 14 months (less than 2 years). Under standard guidelines, their self-employment income:

✓ A) Can be used with a 12-month average

Standard guidelines require 2 years of self-employment history to use self-employment income. EXCEPTION: if the borrower has less than 2 years of self-employment but has 2+ years of prior experience in the SAME field (as an employee), and the transition to self-employment is documented, some programs (including FHA) may accept 1+ year of self-employment with prior field experience.

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82. A borrower has a $650 unpaid collection from a medical provider and a $1,200 unpaid medical collection. Under FHA guidelines:

✓ D) Both must have payment plans established

FHA guidelines specifically state that medical collection accounts may be disregarded — they do not need to be paid off and do not need to be included in DTI. This is a significant FHA advantage. Non-medical collections are treated differently. No dollar threshold applies to the medical exception — both the $650 and $1,200 medical collections can be ignored for FHA qualification.

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83. A borrower's closing is scheduled for November 30. They ask why they're being charged for 31 days of per diem interest (through December 31). This is because:

✓ C) Closing Nov 30 creates per diem from Nov 30 through Dec 31 = 32 days, not 31

Per diem interest (daily interest) is collected from the closing date through the end of the MONTH in which the loan closes. Closing on November 30 = 1 day of November per diem interest (Nov 30 only). The first full mortgage payment covers December interest (due February 1 in arrears). If the borrower closes earlier in the month, they pay more days of per diem interest upfront.

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84. The Loan Estimate 'Comparisons' section helps borrowers by showing:

✓ B) The APR, Total Interest Percentage (TIP), and In 5 Years amounts to compare different loan options

The LE Comparisons section shows three key metrics: (1) APR, (2) Total Interest Percentage (TIP = total interest paid over loan life as % of loan amount), and (3) In 5 Years (total payments and principal paid). These standardized metrics allow borrowers to compare different loan options from different lenders on an apples-to-apples basis.

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85. What is a 'piggyback' loan structure (80-10-10)?

✓ A) Three separate FHA loans on the same property

An 80-10-10 piggyback structure: 80% first mortgage (avoids PMI since LTV = 80%), 10% second mortgage (HELOC or fixed second), 10% cash down payment. This allows a buyer to avoid PMI on the first mortgage while putting only 10% down. The combined LTV is 90% but the first lien is at 80% — no PMI required. Second mortgage rates are typically higher than first.

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86. A borrower receives monthly rental income of $2,200 from a property they own free and clear (no mortgage). For qualifying, the lender should use:

✓ D) $2,200 if the borrower provides 12 months of bank statements

Rental income qualifying requires: documentation on Schedule E (2-year history), current lease, and use of 75% of gross rent to account for vacancy/expenses. Even without a mortgage on the property, the 75% vacancy factor applies. $2,200 × 75% = $1,650/month qualifying income. A free-and-clear rental property's net income would still be limited to 75% of gross rent.

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87. An FHA borrower has a disputed collection account showing on their credit report. The credit report shows this account raised their score by eliminating the negative entry. The underwriter should:

✓ C) Ignore the disputed collection if it's under $1,000

For FHA loans: disputed derogatory accounts (collections, charge-offs, judgments, late payments) must have the dispute removed and credit rescored BEFORE the loan can be approved if the dispute is on a derogatory account affecting the score. AUS findings run with disputes may not reflect the true risk profile. Many lenders require dispute removal for conventional loans as well.

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88. Which statement about 'non-borrower' household members is MOST accurate for HomeReady loans?

✓ B) Non-borrower household income can be documented to provide additional context (boarder income) or reduce the DTI ratio under HomeReady's expanded income guidelines

Fannie Mae HomeReady specifically allows non-borrower household income to be considered: boarder income (from a person living in the home who is not on the loan) can be used as qualifying income with proper documentation (1-2 years of shared residency evidence). Regular household member income can also help reduce DTI. This is one of HomeReady's unique differentiators.

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89. A borrower has $5,000 gross monthly income and $1,200/month PITI. Monthly debts: auto $320, student $200, credit $65. Maximum FHA back-end DTI of 43%. What is the actual back-end DTI and how much headroom remains?

✓ A) 35.7%; $364 headroom

Total debts = $1,200 + $320 + $200 + $65 = $1,785. Back-end DTI = $1,785 / $5,000 = 35.7%. Maximum at 43% = $5,000 × 43% = $2,150. Headroom = $2,150 - $1,785 = $365 (approximately $364). This means the borrower could take on approximately $364 more in monthly debt obligations before hitting the 43% FHA limit.

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90. A 'prior to funding' (PTF) condition is different from a 'prior to close' (PTC) condition in that:

✓ D) PTC conditions are optional; PTF conditions are mandatory

In dry funding states, documents are signed at closing but funds are not wired until the lender reviews the complete signed package — PTF conditions must be resolved before funding authorization. Examples: final payoff confirmation, flood insurance binder, or HOI endorsement may be PTF conditions reviewed after closing but before wire. PTC conditions must be met before the actual closing appointment.

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91. What is the 'HUD-1' settlement statement still used for in today's lending environment?

✓ C) Reverse mortgages (HECMs) and transactions exempt from TRID

The HUD-1 remains required for: (1) reverse mortgages (Home Equity Conversion Mortgages / HECMs), which are exempt from TRID, and (2) certain RESPA-exempt transactions. For all TRID-covered transactions (most closed-end mortgage loans), the HUD-1 was replaced by the Closing Disclosure on October 3, 2015. MLOs working in reverse mortgages will still regularly see the HUD-1.

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92. A Loan Estimate was issued showing a $1,200 origination fee. At closing, the origination fee on the CD is $1,350. Without a valid changed circumstance, the lender must:

✓ B) Issue a refund of $150 to the borrower at or before closing (cure the zero-tolerance violation)

Origination fees are zero-tolerance — they cannot increase without a valid changed circumstance. A $150 increase is a zero-tolerance violation. The lender must cure by: (1) crediting the borrower $150 at closing or (2) issuing a corrected CD showing the original $1,200. The cure must be made at or before settlement. Failure to cure = TRID violation subject to enforcement.

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93. A borrower is purchasing a new construction home expected to close in 6 months. The MLO offers a 180-day lock. This lock will:

✓ A) Have the same pricing as a 30-day lock

Longer lock periods cost more because the lender is committing to a rate for a longer period and bears more interest rate risk. A 180-day lock may cost 0.5-1.5% more (in rate or points) than a 30-day lock on the same loan. Many lenders offer float-to-lock or extended lock programs specifically for new construction with pricing that reflects the extended commitment.

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94. When is a borrower required to update their loan application information?

✓ D) Every 30 days during processing

Borrowers certify on the application (and at closing) that the information is true and complete. If material changes occur (new debt, job loss, additional properties purchased, additional income sources), the borrower must update the application and the lender must re-underwrite. Closing an outdated application without updating material changes is a violation.

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95. A borrower receives a combination of base salary ($3,500/month) and bonuses ($500/month average over 2 years). What is the total qualifying income?

✓ C) $4,000/month but bonus may be excluded if it declined in Year 2

Total qualifying income = base salary ($3,500) + averaged bonus ($500 over 2 years) = $4,000/month. Bonus income requires 2-year history and must be likely to continue. If the bonus is increasing or stable, the 2-year average applies. If declining, use the lower year. With a documented 2-year average of $500/month and employer verification of continuance, $4,000 total is the qualifying income.

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96. How many years does a Chapter 7 bankruptcy remain on a credit report under FCRA (Fair Credit Reporting Act)?

✓ B) 7 years

Under FCRA, Chapter 7 bankruptcy remains on a credit report for 10 years from the filing date. Chapter 13 (a reorganization plan) remains for 7 years. Other negative items (late payments, collections, judgments) remain for 7 years. Knowing these timeframes helps MLOs counsel borrowers about the long-term credit impact of bankruptcy.

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97. If a borrower selects an attorney for title work who is NOT on the lender's Written List of Providers, the fee for that attorney service falls under:

✓ A) Zero tolerance

When a borrower exercises their right to shop and selects a provider NOT on the lender's Written List, the resulting fee has NO tolerance limitation — it can change by any amount from the LE to the CD without triggering a cure. The borrower made their own selection, so the risk of price variance falls on the borrower, not the lender.

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98. An appraisal comes in $50,000 below the purchase price on a home with 20% down (based on purchase price). What should the underwriter do?

✓ D) Deny the loan — low appraisal always results in denial

The underwriter must use the LESSER of purchase price or appraised value for LTV. The lower appraised value changes the maximum loan amount. The borrower's options: renegotiate purchase price, bring more cash (make up the gap), request a Reconsideration of Value (ROV) with supporting evidence, or cancel. The underwriter recalculates the loan based on the appraised value.

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99. The disbursement of funds at closing in a purchase transaction typically goes to:

✓ C) The seller (after all costs and payoffs are deducted), real estate agents (commission), and settlement service providers — per the settlement statement

At a purchase closing, the settlement agent (title company or closing attorney) disburses funds per the CD: seller receives the net proceeds (purchase price minus existing payoffs and closing costs), real estate agents receive commissions, service providers receive their fees, and the lender places the new loan on the property. The borrower receives nothing — they are the party delivering funds, not receiving them.

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100. A borrower who is a green card holder must provide which documentation to confirm eligible alien status for a conventional loan?

✓ B) Alien Registration Card (green card) or I-551 Stamp in passport — documentation of lawful permanent residency

Lawful permanent resident aliens document their status with an Alien Registration Card (Form I-551, commonly called a green card) or an I-551 stamp in a foreign passport. This confirms permanent resident alien status. Temporary visa holders (H-1B, L-1, etc.) document with their visa and employment authorization. These are standard documentation requirements for non-citizen mortgage applicants.

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101. A borrower earns $110,000/year. All monthly debts (PITI + all others) = $4,200. What is the back-end DTI?

✓ A) 45.8%

Monthly income = $110,000/12 = $9,167. Back-end DTI = $4,200/$9,167 = 45.8%. This slightly exceeds the standard 45% Fannie Mae guideline but is within DU's possible approval range (up to 50% with compensating factors). The borrower would need strong compensating factors (good credit, reserves) for DU approval at 45.8%.

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102. For a borrower paid bi-weekly (26 pay periods/year), monthly gross income is calculated as:

✓ D) Pay / 2 (half the bi-weekly check)

Bi-weekly pay = 26 paychecks/year. Monthly income = paycheck amount × 26 / 12. For example, if the paycheck is $2,500 bi-weekly: $2,500 × 26 = $65,000/year / 12 = $5,417/month. Multiplying by 2 (giving $5,000) understates income — it misses the 2 'extra' paychecks per year that bi-weekly vs. semi-monthly pay creates.

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103. Which scenario would BEST qualify for a Fannie Mae HomeReady loan?

✓ C) Veteran with VA entitlement, 700 FICO

HomeReady is specifically designed for LMI borrowers: income ≤80% AMI, minimum 3% down (must use approved sources), homebuyer education required, and designed for first-time or repeat buyers in underserved markets. A high-income borrower or veteran doesn't need HomeReady's specific provisions. The LMI first-time buyer with 640 FICO and 3% down is the target HomeReady borrower.

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104. Which of the following is typically verified during the pre-closing audit or pre-closing review?

✓ B) Borrower's continued employment (VVOE), insurance in place, no new debts added, title is clear, and all conditions are met

Pre-closing review (quality control before CTC or funding) typically verifies: Verbal VOE (employment still active), homeowner's insurance binder in place, no new credit inquiries or debts opened since application (credit refresh), title clear of new liens, all conditions have been satisfied, and the file is complete for funding. This prevents post-closing defects.

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105. A borrower wants to lock in a rate but the property appraisal has not yet been ordered. Most lenders will:

✓ A) Refuse to lock without an appraisal

Rate locks are generally based on loan program, loan amount, LTV (estimated), and credit — not on a completed appraisal. The lock can be executed before appraisal ordering or completion. However, the final loan amount and LTV are subject to change based on appraisal results, which could affect pricing. Locks are conditioned on satisfactory appraisal but do not require one to initiate.

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106. An MLO who originates loans only in low-income neighborhoods and charges fees 3-4x higher than their standard rates elsewhere may be engaging in:

✓ D) RESPA-compliant affiliated business

Charging materially higher fees to borrowers in low-income or minority neighborhoods — when not justified by actual risk — is reverse redlining, a form of predatory lending. It targets protected classes (by neighborhood) with unfair pricing, violates UDAAP, ECOA, and the Fair Housing Act. The pattern of 3-4x higher fees in one market segment is a classic fair lending red flag.

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107. Which of the following is a 'material misrepresentation' in a mortgage advertisement?

✓ C) Showing all applicable fees in the advertisement

Advertising a teaser rate (3%) without disclosing: (a) it requires significant points, (b) the APR, (c) the qualifying criteria — is a material misrepresentation and triggers TILA/Reg Z's advertising requirements. If a specific rate is advertised, the ad must include the APR and other required terms. Misleading rate ads violate both UDAAP and Reg Z.

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108. The FBI's mortgage fraud categories include 'fraud for property' and 'fraud for profit.' What is the PRIMARY distinction?

✓ B) Fraud for property = borrower misrepresents to obtain a loan they couldn't otherwise qualify for; fraud for profit = industry insiders commit fraud to generate cash from real estate transactions

FBI mortgage fraud categorization: Fraud for Property = borrower-driven (overstating income, misrepresenting occupancy) to obtain a loan for a property they want to own. Fraud for Profit = industry insider schemes (appraisers, MLOs, attorneys) designed to generate cash or fees from fraudulent real estate transactions. Fraud for profit is generally more serious and prosecuted more aggressively.

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109. An MLO discovers their manager instructed them to process a loan that the MLO suspects involves identity theft. The MLO should:

✓ **A) Follow the manager's instruction — it's not the MLO's decision**

MLOs have an independent ethical and legal duty to refuse participation in fraud, regardless of managerial pressure. Identity theft = fraud. The MLO must: (1) refuse to process, (2) report to compliance/ethics/BSA, and (3) consider reporting to law enforcement or regulatory authorities. 'Following orders' is not a defense in mortgage fraud cases. Many states and federal laws protect whistleblowers.

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110. 'Loan flipping' in the mortgage context refers to:

✓ **D) Converting an ARM to a fixed rate**

Loan flipping is a predatory practice where an unethical MLO repeatedly refinances a borrower (often at each refinance charging new closing costs, points, and fees) without providing any real financial benefit. The borrower's equity is eroded with each refi while the MLO generates repeated origination fees. This violates UDAAP and state anti-predatory lending laws.

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111. A lender advertises 'Get approved in 24 hours — no income verification needed!' for residential mortgage loans. This advertisement:

✓ **C) Is required by Reg Z to show speed of approval**

Advertising 'no income verification' residential mortgage loans raises ATR/QM compliance concerns — for covered closed-end loans, lenders must verify income per ATR. Marketing no-doc loans (if they exist as covered transactions) without disclosing the higher rates and risks, or implying they're appropriate for everyone, may be deceptive. The CFPB has taken enforcement action against deceptive mortgage advertisements.

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112. An MLO is asked to sign as a witness on a document they did not witness being signed. The MLO should:

✓ **B) Refuse — signing as a witness to a document execution you did not observe is potentially fraudulent**

Signing as a witness to a document you did not actually witness being signed is a fraudulent act — the signature attests to something that did not happen. In the mortgage context, this could be part of a larger fraud scheme. MLOs must never attest to events they did not observe, regardless of who asks or the reason given.

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113. Which of the following BEST describes the ethical responsibility of an MLO regarding rate quotes?

✓ **A) Always quote the lowest possible rate to attract customers**

Ethical rate quoting requires accuracy based on current market pricing and the borrower's actual profile (credit score, LTV, loan type). Lowballing rates to attract clients and then changing at lock or closing is deceptive (UDAAP). Quotes should be based on real pricing and clearly identified as subject to lock and final underwriting. Transparency builds trust and avoids UDAAP exposure.

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114. Which of the following is an example of an 'abusive' practice specific to mortgage lending?

✓ **D) Explaining prepayment penalties clearly**

UDAAP's 'abusive' standard includes taking unreasonable advantage of a consumer's inability to protect their own interests. Targeting cognitively impaired seniors with high-fee products they cannot understand or protect themselves from is a textbook abusive act. CFPB enforcement has specifically addressed elder financial exploitation in lending.

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115. Which federal agency primarily investigates and prosecutes mortgage fraud?

✓ **C) The Federal Bureau of Investigation (FBI) in coordination with HUD-OIG and DOJ**

Mortgage fraud is primarily investigated by the FBI's Mortgage Fraud Task Force in coordination with HUD's Office of Inspector General (HUD-OIG), the Department of Justice (DOJ), and state attorneys general. The CFPB handles regulatory/consumer protection violations but not criminal prosecutions. FBI/DOJ handle the criminal mortgage fraud prosecutions under federal statutes like 18 USC 1014, 1343, and 1344.

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116. Which of the following actions, if performed for compensation, requires SAFE Act licensure?

✓ **B) Completing a pre-qualification worksheet for a borrower**

The SAFE Act requires licensure for any individual who: takes a residential mortgage loan application, OR offers or negotiates terms of a residential mortgage loan, for compensation or gain. 'Taking an application' and 'offering terms' are the key triggers. Pre-qualification, general rate information, and credit review without offering terms are typically not licensure-triggering activities.

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117. What must a registered MLO (bank employee) do that a licensed MLO does not need to do?

✓ **A) Pass the NMLS National Test**

Registered MLOs (employees of federally regulated depository institutions) register through NMLS via their employer — they do NOT take the SAFE test, do NOT complete the 20-hour PE course, and are NOT subject to the same annual CE requirements as state-licensed MLOs. They do undergo criminal background checks and credit reviews. State-licensed MLOs must do all of: PE, exam, CE, and state licensing applications.

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118. Which of the following would typically result in MANDATORY denial of an MLO license application?

✓ D) A bankruptcy discharged 5 years ago

A felony conviction within the preceding 7 years is typically a mandatory denial. However, a felony involving dishonesty, fraud, or breach of trust may result in PERMANENT denial regardless of when it occurred. Mortgage fraud is exactly such a conviction — it directly relates to the MLO's fitness for the position. The 8-year timeframe may or may not be disqualifying depending on state law, but mortgage fraud felonies are among the most serious disqualifiers.

119. The NMLS national exam passing score and the number of scored questions are:

✓ C) 80% passing; 120 scored questions

The NMLS SAFE Mortgage Loan Originator Test consists of 125 total questions: 115 scored and 10 unscored pilot/pretest questions. The passing score is 75% (86 of 115 scored questions correct). Test takers do not know which questions are unscored, so all questions must be answered carefully. The 3-hour time limit applies to all 125 questions.

120. An MLO licensed in State A wants to originate one loan for a borrower in State B. The MLO must:

✓ B) Obtain a State B license before originating the loan

Mortgage origination activities are regulated by the state where the origination occurs (typically where the property is located). A single loan in State B requires a State B license — there is no 'one loan exception.' NMLS facilitates multi-state licensing, and applying for an additional state license is done through NMLS. The MLO cannot originate in a state where they are not licensed.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	**EXCELLENT ✓**	Review any missed; you're on track to pass.
90–107 (75–89%)	**PASS ✓**	Close! Shore up weak topics in study notes.
72–89 (60–74%)	**BORDERLINE**	Re-read weak sections; retake this exam.
0–71 (below 60%)	**NEEDS WORK**	Study notes first, then retry in 24 hrs.